पत्र सूचना कार्यालय
सूचना और प्रसारण मंत्रालय, भारत सरकार

Economy

11 Years of Pradhan Mantri MUDRA Yojana

Driving Financial Inclusion and Micro-Enterprise Growth

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Key Takeaways

- PMMY has evolved into a powerful instrument of empowerment and aspiration, with **57 crore+ loans amounting to ₹40.07 lakh crore**.
- Easy credit access with four distinct loan categories: **Shishu, Kishor, Tarun and TarunPlus**.
- **Collateral-free loans up to ₹20 lakh** for activities covering **manufacturing, trading, services & allied agricultural activities**.
- Strengthening **financial inclusion** with about 60% of loan accounts belonging to women and about 21% to new entrepreneurs in FY 2024-25.
- Over the past decade, PMMY has progressed into a more **technology-driven, integrated and sustainable lending framework**.

PM MUDRA Yojana: "Funding the Unfunded"

Across India's cities, towns and villages, **millions of small entrepreneurs sustain local economies through modest yet vital enterprises**, ranging from neighbourhood small-scale manufacturing and transport activities. **These micro businesses not only generate livelihoods but also support employment and essential services at the co** years, their growth was constrained by limited access to bank credit. Many relied on borrowing from friends, family, or local moneylenders, as they often lacked collateral required by institutions.



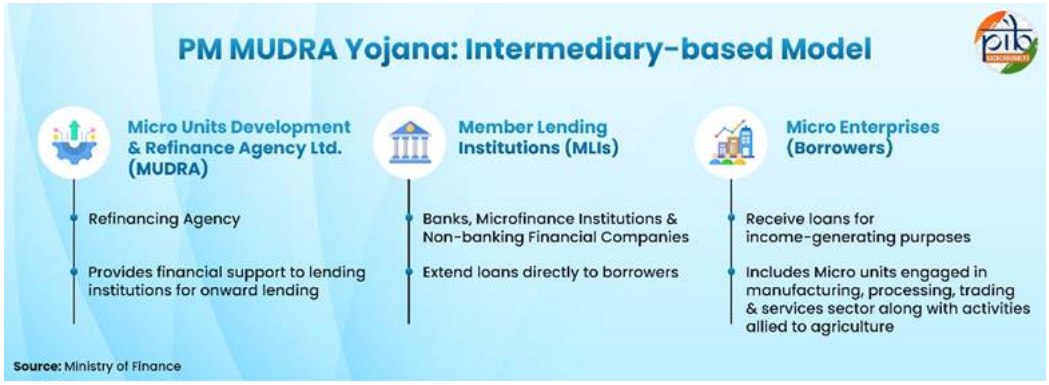
The launch of the **Pradhan Mantri MUDRA Yojana (PMMY)** on 8 April 2015 marked a decisive step in bridging this gap. With the vision of **"Funding the Unfunded,"** access and offers **collateral-free loans up to ₹20 lakh**. Borrowers include **non-corporate, non-farm micro and small enterprises across manufacturing, trading, serv activities**.

Notably, as of 27th March 2026, **the scheme has disbursed loans worth ₹40.07 lakh crore with over 57 crore accounts. Besides, 12 crore+ accounts belong to new** PMMY's role in bringing them into the formal financial system.

Over the past decade, PMMY has evolved into a powerful instrument of empowerment and aspiration. In doing so, it has strengthened grassroots entrepreneurship, deep supported sustained growth of India's local economies.

Driving Credit to the Last Mile: The Architecture

PMMY operates through a three-tier institutional structure comprising the **Micro Units Development and Refinance Agency Ltd. (MUDRA), Member Lendin Beneficiaries (borrowers).** This framework enables seamless flow of credit from formal financial institutions to micro enterprises through an intermediary-driven model.



DID YOU KNOW?

In FY 2024-2025, MUDRA Ltd. reported its highest-ever profit of over ₹827 crore, strengthening its journey towards self-sustainability while continuing to support its inte

The Micro Units Development and Refinance Agency, serves as the supporting institution that provides refinance support to a network of lending institutions, enabling t to the micro enterprise sector. Loans under PMMY are extended through **MLIs**, including Scheduled Commercial Banks (SCBs), Regional Rural Banks (RRBs), Small Banking Financial Companies (NBFCs), and Micro Finance Institutions (MFIs). These institutions are responsible for direct lending to the borrowers, ensuring last-mile del

The **borrowers** under PMMY comprise micro enterprises engaged in manufacturing, trading, services, and allied agricultural activities. They access collateral-free loans t activities, sustain business operations, and expand their enterprises**. Through a structured framework, PMMY facilitates inclusive access to finance and promotes entr**

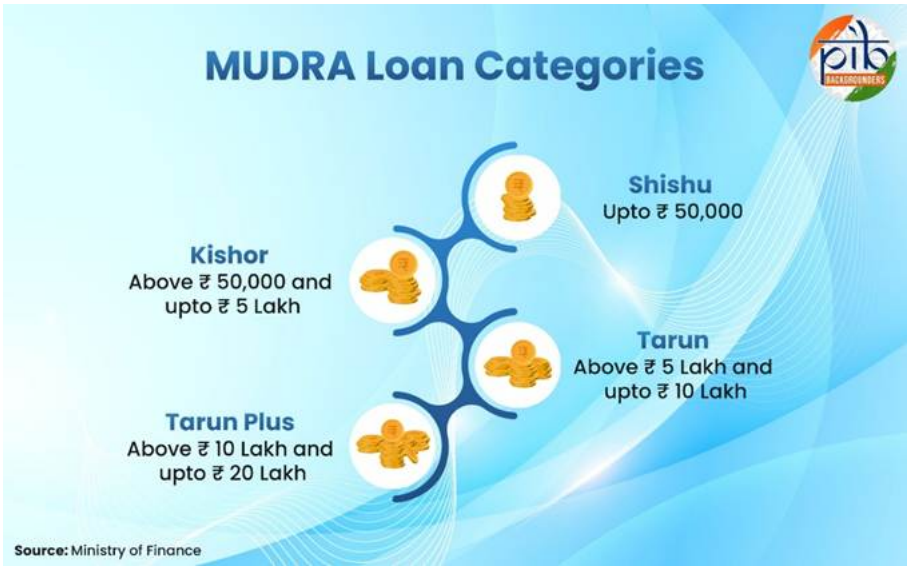
PMMY Coverage

Mudra loans are extended for a wide range of **activities that promote income generation and employment creation**. These loans are primarily provided for:

- Business loan for vendors, traders, shopkeepers and other service sector activities, such as community, social & personal services, food products, textiles etc.
- Working capital loans through MUDRA cards
- Equipment finance for micro units such as purchase of necessary machinery, equipment etc.
- Transport vehicle loans for commercial use only such as auto rickshaws, small goods transport vehicles, 3 wheelers, e-rickshaws etc.
- Loans for agri-allied non-farm income generating activities such as pisciculture, bee keeping, poultry, livestock-rearing, grading, sorting, aggregation agro-industri and agri-business centres, food & agro-processing, etc.

Supporting Enterprises at Every Stage with Distinct Loans

In order to **enable easy credit access based on the business requirements**, **loans** under PMMY are classified into **four distinct categories** namely; **Shishu, Kishor,** categorization caters to different **stages of growth and financial needs** of the enterprises.



Shishu

The **Shishu category** covers **loans up to ₹50,000** and is intended for very small or early-stage business activities. It typically supports individuals who are starting new minimal scale, including activities such as small retail outlets, repair services etc. The accessibility of the Shishu category loan includes **entrepreneurs with no credi** provision **helps even the most marginalised entrepreneurs to transform an idea into an actual business.**

Kishor

The **Kishor category** includes **loans above ₹50,000 and up to ₹5 lakh**. This category is designed for new as well as enterprises that have already commenced operations for stabilisation, working capital or modest expansion of business activities.

Tarun

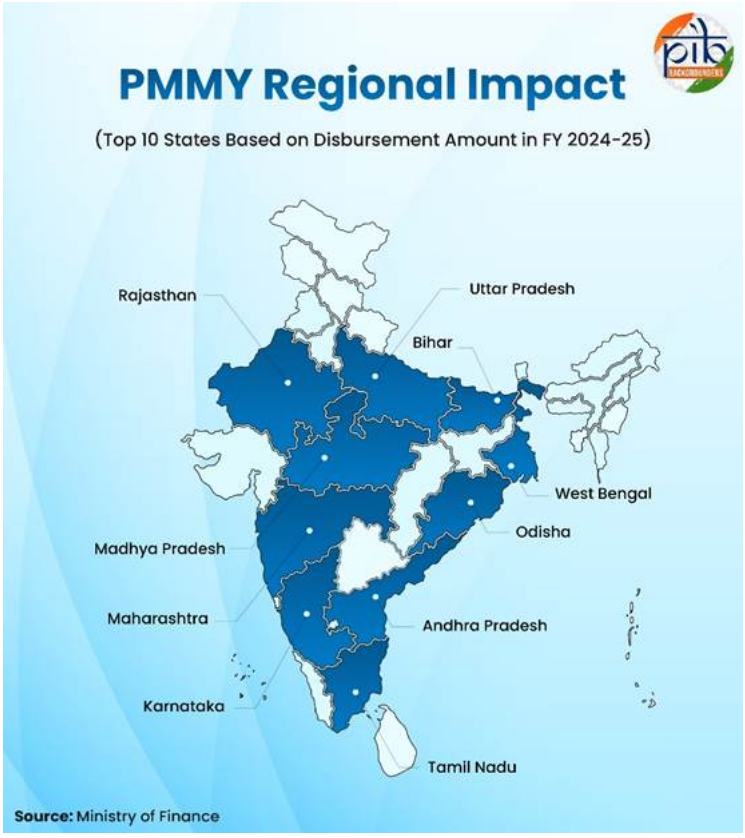
The **Tarun category** covers **loans above ₹5 lakh and up to ₹10 lakh.** It supports growing enterprises seeking to scale up operations, invest in equipment or increase produ

Tarun Plus

The newest category of PMMY- **Tarun Plus category,** started in 2024, extends **loans above ₹10 lakh and up to ₹20 lakh** to borrowers who have successfully **repaid pr** category and demonstrated a stable business track record. The provision enables further expansion and progression to higher levels of enterprise activity.

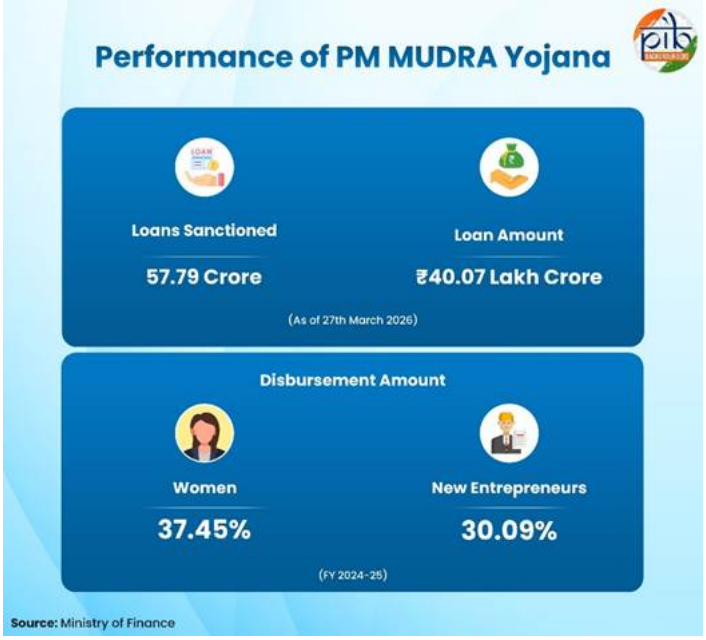
PMMY: A Catalyst for Inclusive Growth & Development

PMMY has achieved significant success in the recent times. It has not only deepened financial inclusion but also strengthened entrepreneurship leading to inclusive gr performance in FY 2024-25 reflects that the core focus of **PMMY has been on credit access, women-led enterprises, and formalising micro businesses to create a lasti**



- Among all states, **Uttar Pradesh** recorded the highest loan disbursement at ₹58,111 crore, followed by **Bihar** with ₹54,064 crore, while **Maharashtra** ranked third at
- **Women borrowers** accounted for 59.81% of the total number of loan accounts, with total share of 37.45% in disbursed amount.

- **New entrepreneurs** constituted 21% of total loan accounts and accounted for a 30.09% share of the total disbursed amount.
- The **cumulative share of SC, ST, and OBC categories** stood at 45.52% in terms of loan accounts and 31.77% in terms of the total disbursed amount.



In doing so, the scheme continues to play a vital role in democratizing finance and supporting the growth of micro-enterprises across India.

Strengthening PMMY Ecosystem

The wide spectrum of PMMY integrated with other government-backed schemes and digital portals ensures a strengthened credit delivery ecosystem along with financial i and Self-Help Groups (SHGs).

Digitization of MUDRA transactions has enhanced efficiency, transparency, and ease of credit access for borrowers. Notably, the credit ecosystem has strengthened, **sup the Credit Guarantee Fund for Micro Units (CGFMU)-** administered by the National Credit Guarantee Trustee Company (NCGTC). It **provides guarantee cover PMMY** and reduces the credit risk for lending institutions thus, facilitating flow of collateral-free credit to micro enterprises. Additionally, measures have been undertaken t application process and ensure timely disbursal of loans. For instance, **JanSamarth** portal enables multiple integrations including Mudra loans, to provide digital access to hassles for MLIs.

JanSamarth is a national portal that covers 14 credit-linked government schemes, 7 loan categories (including PMMY for business activities) and 200+ lenders.

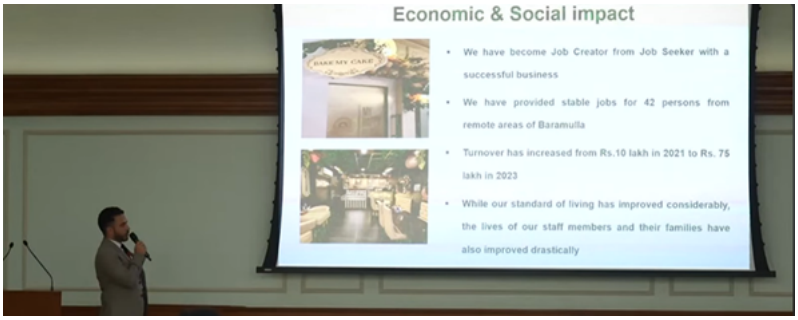
Small Loans, Big Dreams: Lives Changed by PMMY

The outcome of PMMY is reflected in the journeys of borrowers across the country who have leveraged institutional credit to establish and expand their enterprises.



For **Poonam Kumari, a farmer's daughter-in-law from Bihar**, starting a business was not an obvious path. It was a considered decision, made **together with her hus** and quiet determination. In 2024, an **₹8 lakh MUDRA loan**, obtained with minimal paperwork, gave her the means to **launch a seed trading business**. Within a short s **reached ₹60,000, a figure that has not only brought financial independence** but also earned her the trust and confidence of her family. Her story is one of resolve, partn that comes with standing on one's own feet.

Source: https://www.youtube.com/watch?v=otNb6xwsrSc



Mudassir Naqshbandi tasted success from once being a job-seeker to a job-creator. The **owner of Bake My Cake in Baramulla, Kashmir**, Mudassir used his **MUDR bakery business** that **employs 42 people** from remote corners of the district. His **earnings**, once in the thousands, have **climbed to lakhs and crores**. His business als how India transacts- **nine out of every ten payments at his bakery are made through UPI**, a sign of expanding digital financial inclusion.

Source: https://www.youtube.com/watch?v=UkhViDHj9cc



When **Lavkush Mehra from Bhopal** took his **first MUDRA loan of ₹5 lakh** in 2021, he did so with some hesitation. Within a few years, that single step was the beginni his **pharmaceutical business grew from a ₹12 lakh turnover to over ₹50 lakh**, his **income more than doubled, and he became a homeowner**. His story reflects what achieve-giving young entrepreneurs the financial foundation to build livelihoods on their own terms.

Source: https://www.youtube.com/watch?v=oPqmp6PuwGU

These success stories highlight the transformative potential of PMMY in facilitating **transition of micro-businesses into growth-oriented ventures.**

Conclusion

The PM MUDRA Yojana has been central to India's financial inclusion efforts providing collateral-free credit to millions of micro-entrepreneurs. The scheme has grown r integration and alignment with complementary government initiatives. As it enters its next phase, the priorities are clear: **improving credit quality, ensuring enterprise towards growth-oriented financing, so that today's micro-enterprises become tomorrow's resilient and scalable businesses.**

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